CASCADIA ANALYTICS

Union Pacific Corporation

Equity Research Note | UNP | 22 OCTOBER 2026

Best Railroad, Full Price

Union Pacific screens as a Hold, Valuation Concerns with a $232.75 blended target, 22% below the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$298.09	$232.75	-22%	HOLD, VALUATION CONCERNS

Investment Thesis

Best Railroad, Full Price. Union Pacific is the premier North American railroad: 29% net margins, 38% ROE, six straight quarters of pricing gains, record productivity. The operating quality is unquestioned [8-K Q2 2026]. Merger Is the Story. The proposed Norfolk Southern combination would create the first transcontinental US railroad. It is also the only credible growth driver beyond low-single-digit volume gains [8-K]. Overvalued on DCF. At $298.09 [Mkt 16-Oct-26], the stock is 32% above our $238.34 DCF base.

- Best Railroad, Full Price
- Merger Is the Story
- Overvalued on DCF

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The latest print

Merger Is the Story. The proposed Norfolk Southern combination would create the first transcontinental US railroad. It is also the only credible growth driver beyond low-single-digit volume gains.

Overvalued on DCF. At $298.09, the stock is 32% above our $238.34 DCF base. Quality deserves a premium, but the current price assumes the merger closes smoothly and volumes recover.

$6.86B	$3.41	~59%	28.9%	38.5%	$24.5B
REVENUE (Q2 2026)	EPS (Q2 2026)	OPERATING RATIO	NET MARGIN	RETURN ON EQUITY	REVENUE (FY25)

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q2 2026)	$6.86B	+11.5%	Up
EPS (Q2 2026)	$3.41	+12.5%	Up
Operating Ratio	~59%	-1.1 pts	Down
Net Margin	28.9%	+1.0 pts	Up
Return on Equity	38.5%	n/a	Up
Revenue (FY25)	$24.5B	+1.0%	Up
Net Income (FY25)	$7.14B	+5.8%	Up

The moat

Core pricing gains for sixth consecutive quarter; freight revenue ex-fuel at record

The growth engine

Best-ever workforce productivity, fuel consumption, terminal dwell

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

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SCENARIO	WEIGHT	2026-30 CAGR	2030 REVENUE	2030 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	2.7%	$29.30B	40.0%	**$175.48**	-41%
Base	50%	4.0%	$31.49B	42.2%	**$238.34**	-20%
Bull	25%	5.4%	$34.01B	44.0%	**$278.84**	-6%

Bear: downside case at $175.48 (-41%).

Base: central case at $238.34 (-20%).

Bull: upside case at $278.84 (-6%).

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The probability-blended target implies 22% downside

A 25% Bear / 50% Base / 25% Bull weighting implies -22% from the $298.09 reference price.

$232.75
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2026E)	**$26.91B**
Valuation horizon	**2026-2030**
Live WACC	**7.98%**
Terminal growth	**2.5%**
Net debt	**$28.71B**
2030 FCF (Base)	**$8.42B**
10-year Treasury yield	**5.0%**
Beta	**0.95**
Equity risk premium	**3.7%**

HOLD, VALUATION CONCERNS | $232.75 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 12.3%, market-implied 5-yr revenue CAGR: 12.3%.

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-10%	$76.1B	$79.74	+10%	$186.7B	$265.99	+30%	$407.6B	$637.81	+50%	$807.9B	$1,311.52
-9%	$79.8B	$86.03	+11%	$194.7B	$279.36	+31%	$422.7B	$663.20	+51%	$834.1B	$1,355.77
-8%	$83.7B	$92.58	**+12%**	**$202.9B**	**$293.20**	+32%	$438.2B	$689.35	+52%	$861.1B	$1,401.17
-7%	$87.8B	$99.41	+13%	$211.4B	$307.52	+33%	$454.2B	$716.27	+53%	$888.8B	$1,447.76
-6%	$92.0B	$106.51	+14%	$220.2B	$322.33	+34%	$470.7B	$744.00	+54%	$917.2B	$1,495.55
-5%	$96.4B	$113.90	+15%	$229.3B	$337.65	+35%	$487.7B	$772.54	+55%	$946.3B	$1,544.58
-4%	$100.9B	$121.59	+16%	$238.7B	$353.49	+36%	$505.1B	$801.92	+56%	$976.2B	$1,594.86
-3%	$105.7B	$129.58	+17%	$248.4B	$369.87	+37%	$523.1B	$832.14	+57%	$1006.8B	$1,646.42
-2%	$110.6B	$137.89	+18%	$258.5B	$386.79	+38%	$541.5B	$863.24	+58%	$1038.2B	$1,699.28
-1%	$115.8B	$146.53	+19%	$268.9B	$404.27	+39%	$560.5B	$895.23	+59%	$1070.4B	$1,753.47
+0%	$121.1B	$155.50	+20%	$279.6B	$422.33	+40%	$580.1B	$928.13	+60%	$1103.4B	$1,809.01
+1%	$126.6B	$164.82	+21%	$290.7B	$440.98	+41%	$600.2B	$961.96	+61%	$1137.2B	$1,865.93
+2%	$132.4B	$174.50	+22%	$302.1B	$460.23	+42%	$620.8B	$996.73	+62%	$1171.9B	$1,924.26
+3%	$138.3B	$184.54	+23%	$313.9B	$480.10	+43%	$642.1B	$1,032.47	+63%	$1207.4B	$1,984.01
+4%	$144.5B	$194.96	+24%	$326.1B	$500.60	+44%	$663.9B	$1,069.21	+64%	$1243.7B	$2,045.22
+5%	$150.9B	$205.76	+25%	$338.7B	$521.76	+45%	$686.3B	$1,106.95	+65%	$1281.0B	$2,107.92
+6%	$157.6B	$216.96	+26%	$351.6B	$543.57	+46%	$709.4B	$1,145.72	+66%	$1319.1B	$2,172.12
+7%	$164.5B	$228.58	+27%	$365.0B	$566.07	+47%	$733.0B	$1,185.54	+67%	$1358.2B	$2,237.86
+8%	$171.7B	$240.61	+28%	$378.8B	$589.27	+48%	$757.3B	$1,226.43	+68%	$1398.2B	$2,305.17
+9%	$179.1B	$253.08	+29%	$393.0B	$613.18	+49%	$782.2B	$1,268.42	+69%	$1439.1B	$2,374.06

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$132.96B	—	2.5%	-$28.71B	$104.25B	**$175.48**
Base	$170.30B	—	2.5%	-$28.71B	$141.59B	**$238.34**
Bull	$194.36B	—	2.5%	-$28.71B	$165.65B	**$278.84**

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Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2026	2027	2028	2029	2030
Bear	$175.48	$189.48	$193.07	$196.38	$199.54	$202.61
Base	$238.34	$257.36	$265.34	$273.12	$280.89	$288.64
Bull	$278.84	$301.09	$311.48	$321.52	$331.41	$341.19

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $232.75 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Union Pacific Corporation valuation framework

The franchise deep dive

Core pricing gains for sixth consecutive quarter; freight revenue ex-fuel at record

Best-ever workforce productivity, fuel consumption, terminal dwell

Proposed Norfolk Southern merger creates first transcontinental railroad

Revenue and margin trend

METRIC	FY21	FY22	FY23	FY24	FY25
Revenue	$21.8B	$24.9B	$24.4B	$24.3B	$24.5B
Op Ratio	57.2%	60.1%	62.3%	58.9%	58.5%
Net Margin	29.9%	28.0%	26.1%	27.8%	29.1%

Valuation cross-check

NTM P/E 20.3x

DCF Base $238.34 vs $298.09 spot

PEG 2.87

DCF implies 20% downside. PEG of 2.87 is expensive for low-single-digit growth.

CSX 27x, NSC 27x NTM P/E

In line with Class I peers, all of which look full.

Trading near the high end of historical multiples

Merger speculation supports the premium; fundamentals alone do not.

What to monitor

Oct 22, 2026. Q3 2026 Earnings: consensus $3.47 EPS on $7.12B revenue. Operating ratio is the key metric.

2026-2027. Norfolk Southern merger regulatory review; STB application expected after Oct 29.

2027. Pricing gains and productivity initiatives target continued OR improvement.

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Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2022	$24.9B	$11.2B	$9.9B	$12.6B
2023	$24.1B	$10.5B	$9.1B	$11.9B
2024	$24.2B	$11.0B	$9.7B	$12.5B
2025	$24.5B	$11.2B	$9.8B	$12.9B

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2021	$63.5B	$49.4B	$14.2B	$960M
2022	$65.4B	$53.3B	$12.2B	$973M
2023	$67.1B	$52.3B	$14.8B	$1.1B
2024	$67.7B	$50.8B	$16.9B	$1.0B
2025	$69.7B	$51.2B	$18.5B	$1.3B

Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2022	$9.4B	$-3.6B	$-5.9B	$5.7B
2023	$8.4B	$-3.6B	$-4.6B	$4.8B
2024	$9.3B	$-3.5B	$-6.1B	$5.9B
2025	$9.3B	$-3.8B	$-5.3B	$5.5B

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $232.75 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 42 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.07% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $8.78M of sales, a net flow of -$8.78M. One-year total shareholder return is +30.8% against CEO total pay of $5.30M (Mr. Vincenzo James Vena), which the model scores as PERFORMANCE EARNED.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	2 / 40	0.07% of shares held by insiders
Form 4 Flow (Conviction Flow)	14 / 30	Buys $0 (0) vs sales $8.78M (3), net -$8.78M, trailing six months
Pay-for-Performance	26 / 30	PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +30.8%; Mr. Vincenzo James Vena, CEO & Director, total pay $5.30M
Agency Risk Score	**42 / 100**	Regime: HIGH AGENCY RISK // VALUE TRAP

Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-06-03	Gehringer Eric J.	Officer	SELL	2,991	$789.5K
2026-04-24	Rocker Kenyatta G.	Officer	SELL	27,387	$7.44M
2026-04-24	Hamann Jennifer L	Chief Financial Officer	SELL	2,000	$549.4K

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SEC proxy audit, DEF 14A filed 2026-03-25

Alignment grade A. BONUS AT 138% OF TARGET. V. James Vena, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
N/A	N/A	N/A	N/A

Annual formula-based incentives paid out at 138% of target driven by above-target operating income, improved operating ratio, and record safety results. Conversely, 2023-2025 performance stock units vested below target at 86%, reflecting genuine rigor in three-year ROIC and relative operating income growth metrics. While individual compensation dollar figures are omitted from this excerpt, 92% of the CEO's compensation opportunity is performance-based with strong say-on-pay support (94%).

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/100885/000010088526000098/unp-20260324.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 22 October 2026 for this note.

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The bear case

Merger Regulatory Risk

STB may block or condition the NSC merger; a rejection would remove the primary growth catalyst.

Economic Sensitivity

Freight volumes are economically sensitive; a recession hits carloads across all segments.

Leverage

Debt/equity of 1.72x limits financial flexibility for the merger and buybacks.

The strengths

Operating Quality

Premier North American railroad with 29% net margins and 38% ROE. Pricing power through economic cycles. The moat is the physical network.

Recent Trend

Q2 beat on EPS and revenue, record productivity metrics, sixth straight quarter of pricing gains. But carload volume is flat; growth is price, not volume.

Forward Growth

Freight volumes track industrial production; low-single-digit growth at best. The NSC merger is the growth story but faces regulatory risk and integration complexity.

Valuation

At $298.09 vs $238.34 DCF base (-20% upside), the stock is materially overvalued. NTM P/E 20.3x and PEG 2.87 are full for a low-growth railroad. Terminal value blends two legs 50/50: a Gordon perpetuity at 2.5% growth on terminal-year free cash flow and an EV/EBITDA exit on terminal EBITDA (11.0x bear, 14.5x base, 15.0x bull). In the base case the legs are $157B (Gordon) and $234B (exit), blended to $196B, and the present value of terminal value is about 81% of enterprise value. Cash flows are unlevered and are discounted at a weighted WACC of 7.98%: the live CAPM cost of equity blended with an after-tax cost of debt at market-value weights.

CASCADIA EQUITY ANALYTICS

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Cascadia scorecard

Composite score 62: Fair. Confidence High, as of 17-Oct-2026.

PILLAR	RATIONALE	SCORE
Operating Quality	Premier North American railroad with 29% net margins and 38% ROE. Pricing power through economic cycles. The moat is the physical network.	85
Recent Trend	Q2 beat on EPS and revenue, record productivity metrics, sixth straight quarter of pricing gains. But carload volume is flat; growth is price, not volume.	70
Forward Growth	Freight volumes track industrial production; low-single-digit growth at best. The NSC merger is the growth story but faces regulatory risk and integration complexity.	55
Valuation	At $298.09 vs $238.34 DCF base (-20% upside), the stock is materially overvalued. NTM P/E 20.3x and PEG 2.87 are full for a low-growth railroad. Terminal value blends two legs 50/50: a Gordon perpetuity at 2.5% growth on terminal-year free cash flow and an EV/EBITDA exit on terminal EBITDA (11.0x bear, 14.5x base, 15.0x bull). In the base case the legs are $157B (Gordon) and $234B (exit), blended to $196B, and the present value of terminal value is about 81% of enterprise value. Cash flows are unlevered and are discounted at a weighted WACC of 7.98%: the live CAPM cost of equity blended with an after-tax cost of debt at market-value weights.	40
Catalysts & Risk	Q3 earnings Oct 22 is the near-term test. NSC merger is two-sided: transformational if approved, a major overhang if blocked. Volume softness is the risk.	65

Investment view

> STB approval of the NSC merger would add a strategic premium. A Q3 volume miss or merger rejection would cut Growth and Catalysts.
>
> **Investment view: Hold, Valuation Concerns. The $232.75 blended target implies -22%, balancing the $175.48 / $238.34 / $278.84 Bear / Base / Bull outcomes.**

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